KNOXVILLE AREA DSA

Financial Controls Code

PROPOSED, NOT YET ADOPTED

Knoxville Area Chapter of the Democratic Socialists of America

Document type and number	Code No. 8 (FIN)
Tier	Tier 2, Code
Adopting authority	**Heightened action** (Article VI, Section 5(b)(2)): the final vote, requiring the higher quorum and a supermajority, at the second of two consecutive General Meetings (Article XVIII, Section 1(b))
Date of adoption	___ (pending)
Amendment dates	None to date
Effective date	___ (pending)

“The Knoxville Area DSA seeks to facilitate the transition to a truly democratic and socialist society in which the means and resources of production are democratically and socially controlled.”

STATEMENT OF PURPOSE

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Section 1. Purpose and Authority

This Code is adopted under Article XVIII, Section 1(b) of the bylaws of the Chapter. It is the Code-only reserved subject identified in Article XVIII, Section 4(a): the Financial Controls Code, governing expenditure controls and financial procedures. Article XVIII, Section 7 names it a load-bearing instrument of the Chapter's governance system.

This Code carries out the delegations the bylaws make to it by name: the requirement of Article XVI, Section 5 that dollar thresholds, dual-signature requirements, reconciliation cadence, reimbursement procedures, budget-variance authority, and financial-statement deadlines and delivery be governed by this Code; the requirement of Article XVI, Section 1 that signatory transitions, temporary emergency signatories, and petty-cash controls be governed by this Code; the requirement of Article XVI, Section 2 that this Code set the Treasurer's routine expenditure threshold and the Steering Committee's higher expenditure threshold; the requirement of Article IV, Section 3 that reimbursement of officers' documented Chapter-related expenses proceed under this Code; and the requirement of Article IV, Section 8 that the Treasurer's duties be governed also by this Code.

This Code owns the money rules of the Chapter: expenditure thresholds, dual-signature and reconciliation controls, reimbursement, budget-variance authority, and financial-statement mechanics. The dollar thresholds in this Code are the expenditure thresholds of the Chapter's entire instrument set; Section 15 governs their use by other instruments. This Code does not set the Chapter's legal, tax, or National-facing filing deadlines: those obligations are governed by the Compliance Code. Article XVI, Section 5 names this Code and the Compliance Code together for the compliance calendar of required filings; the division is that the Compliance Calendar is maintained under the Compliance Code, and it records and schedules the deadlines this Code fixes, such as the reconciliation cadence, the cash-deposit deadline, and the financial-statement deadlines, alongside the filing deadlines the Compliance Code fixes.

This Code implements two bylaws floors and states them as floors: the membership-authorization requirement for direct disbursements to natural persons fixed by Article XVI, Section 2, and the budget-publication duties fixed by Article XVI, Section 3. This Code may implement those floors with procedure and documentation, and may never narrow, condition, or delay them.

This Code is a Tier 2 Code. It binds the membership, the officers, the Steering Committee, and every subsidiary body of the Chapter under Article VIII. It does not and cannot reduce any duty, power, protection, threshold, or quorum set in the bylaws or in the national documents, and where this Code and a higher tier conflict, the higher tier controls, under Article XVIII, Section 2.

Section 2. Definitions

For purposes of this Code:

a) **Expenditure** means any payment, disbursement, or financial commitment of Chapter funds, including direct payments to vendors, reimbursements to members, and recurring charges.

b) **Routine expenditure** means an ordinary operating cost of the Chapter, whether or not recurring, that is consistent with the Chapter's adopted budget and ordinary activities.

c) **Nonrecurring expenditure** means an expenditure that is not an ordinary operating cost and does not repeat on a regular schedule.

d) **Authorized signatory** means an officer holding signatory authority under Article XVI, Section 1, that is, the Treasurer as primary signatory and both Co-Chairs, or a temporary emergency signatory designated under Section 5 of this Code for the duration of the designation.

e) **Second-signature approval** means documented approval of an expenditure by an authorized signatory other than the one initiating or executing the payment, recorded before the payment is made and retained with the transaction record.

f) **Reconciliation** means comparing the Chapter's financial records against the financial institution's statement for an account to confirm that every transaction is accounted for and accurate.

g) **Direct disbursement to a natural person** means any payment of Chapter funds to an individual human being rather than to an entity, within the meaning of Article XVI, Section 2, including payroll, a stipend, an honorarium, a contractor fee, and a vendor payment to an individual doing business in a personal capacity or as a sole proprietor.

h) **Campaign plan** means a written plan for a campaign, program, or project of the Chapter, adopted by majority vote of the membership at a Meeting, that identifies the payments or categories of payment to be made, the payees or class of payees, and the amounts or a stated cap.

i) **Provided for**, said of an expenditure and an adopted budget or campaign plan, means that the expenditure falls within a budget line or plan provision that fairly encompasses its purpose and its payee or payee class, and that the expenditure, together with prior expenditures against the same line or provision, does not exceed the amount the membership adopted.

Section 3. Fiscal Year, Bank Accounts, and Custody of Funds

a) **Fiscal year.** The fiscal year of the Chapter is the calendar year established by Article XVI, Section 1, running January 1 through December 31.

b) **Accounts.** All Chapter funds shall be held in accounts in the Chapter's name under the Chapter's federal tax identification number, as Article XVI, Section 1 requires.

c) **No petty cash.** Article XVI, Section 1 commits petty-cash controls to this Code, and this Code sets the petty-cash allowance at zero. The Chapter does not maintain petty cash and shall not hold cash outside its accounts. Incidental costs that might otherwise be paid in cash shall be handled through the reimbursement procedure in Section 11 or by direct payment from a Chapter account. Cash received by the Chapter, such as cash collected at an event, shall be counted by two members, recorded, and deposited into a Chapter account promptly, and in no case later than fourteen days after receipt.

d) **No commingling.** Chapter funds shall not be commingled with the personal funds of any member or officer, and no Chapter account shall be held in the personal name of any member or officer.

e) **Reserve fund.** The Chapter may hold a reserve fund: Chapter money set aside for financial resilience rather than for a specific upcoming expenditure. The reserve fund is Chapter money like any other and remains subject to subsections (b) and (d): it shall be held in an account in the Chapter's name under the Chapter's federal tax identification number, and shall never be commingled with the personal funds of any member or officer. The reserve fund may be held in a certificate of deposit or another low-risk, federally insured, time-restricted instrument, in addition to or instead of an ordinary deposit account. A certificate of deposit or similar instrument is an account within the meaning of subsection (b), whatever term the financial institution uses for it.

f) **Characterization and authorization.** Placing Chapter funds into a certificate of deposit or other time-restricted reserve instrument, and redeeming funds from one before its stated maturity, is a financial commitment of Chapter funds within the meaning of Section 2(a), and is a nonrecurring expenditure within the meaning of Section 2(c). It is authorized under Section 6(b) or Section 6(c) according to the dollar amount committed or redeemed; Section 6(a)'s routine-expenditure threshold does not authorize a reserve-fund commitment or redemption at any amount. A reserve-fund commitment or redemption authorized under this subsection is not, on that basis alone, a nonrecurring expenditure of unusual character within the meaning of Section 6(d). For purposes of Section 9, including the second-signature control in Section 9(b) and its confirmation in Section 9(d), a reserve-fund commitment or redemption authorized or provided for under this Section is a payment. This subsection sets no threshold of its own: the thresholds

in Sections 6 and 9 apply to a reserve-fund commitment by reference. A single reserve-fund transaction shall not be divided into smaller transactions for the purpose of keeping it under a threshold, consistent with Section 6(f).

g) **Redemption, budgeted commitments, rollover, and plain movement.** Where funds redeemed from the reserve fund under subsection (f) are to be spent for a purpose that itself requires authorization under Section 6, a single authorization stating both the redemption and that purpose satisfies the authorization requirement for both, and this Code does not require a second General Meeting or Steering Committee approval for the same course of action. The annual budget may state a reserve-fund contribution amount or a cap for the fiscal year; a reserve-fund commitment within that stated amount or cap is provided for within the meaning of Section 8, notwithstanding the payee element of Section 2(i), and is executed under Section 9 without further authorization under Section 6. A certificate of deposit's automatic renewal into a new term at its financial institution's standing terms, without adding funds beyond what was already committed, continues the existing commitment and does not require fresh authorization under subsection (f); adding funds at renewal is a new commitment under subsection (f) for the amount added. Moving Chapter funds between the reserve fund and an ordinary Chapter deposit account after a time-restricted instrument's maturity is a movement of Chapter funds between Chapter accounts, not itself a payment, disbursement, or financial commitment, and is not, on that basis alone, a financial commitment requiring authorization under this Code. Holding the reserve fund in an ordinary deposit account rather than a time-restricted instrument is likewise not a financial commitment requiring authorization under this Code.

h) **Reporting and reconciliation.** The reserve fund is included in the Chapter's annual financial statements under Section 13(a), and interest or dividends a financial institution credits to the reserve fund are included in the Treasurer's regular reporting under Section 13(c) as income. The reserve fund is included in the reconciliation under Section 10(a), on a cadence matching the statements the financial institution actually issues for it, and in the independent review under Section 10(b) on the cadence that subsection fixes. A transaction record required by Section 14(a) for a reserve-fund commitment or redemption states the reserve fund itself as the payee where no other payee exists.

Section 4. Authorized Signatories and Signatory Transitions

a) **Signatories fixed by the bylaws.** The authorized signatories are fixed by Article XVI, Section 1: the Treasurer as primary signatory, and both Co-Chairs, each of whom may sign in the Treasurer's absence. This Code does not and cannot alter who holds signatory authority, and under Article IV, Section 8 no officer may delegate financial signatory authority.

b) **Transition duty.** Within fourteen days of any change in the officers holding signatory authority, the Chapter shall update signatory authority with every financial institution holding a

Chapter account, adding the incoming officeholders and removing the outgoing ones. The Treasurer is responsible for executing the update; if the Treasurer's position is vacant or the Treasurer is unable to act, a Co-Chair executes it.

c) **Suspension of access.** Where an officer's signatory authority is suspended under another Code, including the Whistleblower Code, the Treasurer, or a Co-Chair if the Treasurer is the suspended officer, shall notify the financial institution as needed to give effect to the suspension.

Section 5. Temporary Emergency Signatories

a) **Condition.** If all three authorized signatories are simultaneously unavailable, incapacitated, removed, or otherwise unable to perform signatory duties for more than thirty consecutive days, the Steering Committee may by majority vote designate one officer or member in good standing as a temporary emergency signatory, under the delegation of Article XVI, Section 1.

b) **Documentation.** The designation requires written documentation of the unavailability of all three ordinary signatories, retained with the Chapter's financial records.

c) **Ratification.** The designation must be ratified by majority vote at the next General Meeting. If ratification is not obtained at that meeting, the designation ends at the close of the meeting, without prejudice to payments executed in good-faith reliance on it before then.

d) **Expiration.** The designation expires automatically when any ordinary signatory returns to office and resumes signatory duties, and in any case ends when the underlying vacancy or incapacity is resolved under Article XI.

e) **Report to National DSA.** The designation shall be reported in writing to National DSA by the Secretary or, if the Secretary is unavailable, by the designating Steering Committee members. The deadline and channel for the report are fixed by the Compliance Code, which carries the designation report as an event-triggered duty in its National DSA reporting set with a matching row on the Compliance Calendar; this Code creates the reportable event and names the reporters so that the report does not depend on an officer the emergency may have removed, but it does not set the filing deadline, consistent with Section 15(c).

f) **Status.** A temporary emergency signatory is an authorized signatory for all purposes of this Code for the duration of the designation, and is subject to every control in this Code, including second-signature approval and the prohibition on self-approval.

Section 6. Expenditure Authorization

Authorization is the decision to commit Chapter funds. It is distinct from execution of the payment, which is governed by Section 9. Every expenditure shall be authorized as follows:

a) **Treasurer authority, up to and including $250.** The Treasurer may authorize a routine expenditure of $250 or less. This figure is the Treasurer's routine expenditure threshold that Article XVI, Section 2 commits to this Code. This subsection does not authorize a reserve-fund commitment or redemption at any amount; see Section 3(f).

b) **Steering Committee authority, up to and including $1,000.** The Steering Committee may authorize a nonrecurring expenditure of any amount up to $1,000. This figure is the Steering Committee threshold that Article XVI, Section 2 commits to this Code. The Steering Committee may also authorize a routine expenditure above the Treasurer threshold up to the same figure: Article XVI, Section 2 requires General Meeting approval only for expenditures above the Steering Committee threshold, and this Code assigns the routine band between the two thresholds to the Steering Committee under the dollar-threshold authority that Article XVI, Section 5 commits to this Code.

c) **General Meeting, greater than $1,000.** Any expenditure above the Steering Committee threshold requires approval at a General Meeting, as Article XVI, Section 2 requires.

d) **Nonrecurring expenditures of unusual character.** Regardless of amount, a nonrecurring expenditure of unusual character requires approval at a General Meeting, as Article XVI, Section 2 requires.

e) **Direct disbursements to natural persons.** Regardless of amount, a direct disbursement to a natural person that is not provided for in a budget or campaign plan adopted by the membership requires approval at a General Meeting, as Article XVI, Section 2 requires and as Section 7 of this Code implements.

f) **No splitting.** An expenditure shall not be divided into smaller payments for the purpose of keeping it below an authorization threshold or outside the floor in subsection (e).

Section 7. Direct Disbursements to Natural Persons

a) **The bylaws floor.** Article XVI, Section 2 provides that any direct disbursement to a natural person, such as payroll or a contractor or vendor payment, not provided for in a budget or campaign plan adopted by the membership requires approval at a General Meeting, regardless of amount. That requirement is a bylaws floor. This Section implements it with verification and

documentation mechanics, and nothing in this Code, and no Rule, Policy, or Artifact, may narrow it, create an exception to it, or move any class of payments out of it.

b) **Verification before payment.** Before executing any direct disbursement to a natural person, the Treasurer shall verify, and record in the transaction record, either the budget line or campaign-plan provision that provides for the payment, within the meaning of Section 2(i), or the date and terms of the General Meeting approval authorizing it.

c) **Membership approval.** A General Meeting approval under this Section shall identify the payee or class of payees, the purpose, and the amount or a stated cap, and shall be recorded in the minutes. Approval of a budget or campaign plan that provides for a payment is membership authorization of that payment; a payment exceeding the amount provided requires a further General Meeting approval for the excess.

d) **Variances excluded.** A Steering Committee budget variance under Section 8 is not adoption by the membership. A variance may not extend a budget line so as to provide for a direct disbursement to a natural person beyond the amount the membership adopted; the excess requires approval at a General Meeting.

e) **Reimbursements.** A reimbursement under Section 11 is a payment to a natural person. A reimbursement whose underlying expense is provided for in an adopted budget or campaign plan is provided for within the meaning of this Section; a reimbursement whose underlying expense is not so provided for requires approval at a General Meeting, regardless of amount.

f) **Recurring authorizations.** For payroll or another recurring direct disbursement to a natural person, a single budget line, campaign-plan provision, or General Meeting approval stating the payee or position, the rate or amount, and the period covers each payment in the series; a change in payee, rate, or period requires a new provision or approval.

Section 8. Budgeted Expenditures and Budget Variance

a) **Budget adoption authorizes budgeted spending.** The membership adopts an annual budget for the coming fiscal year by majority vote under Article XVI, Section 3. Adoption of the budget authorizes the expenditures provided for in it, up to each budgeted line amount, subject to Section 7 for direct disbursements to natural persons.

b) **Execution of budgeted payments.** The Treasurer may execute payments that are provided for in the adopted budget and within the budgeted line amount without seeking separate authorization under Section 6, subject to the payment-execution controls in Section 9.

c) **Budget variance.** Under the budget-variance authority that Article XVI, Section 5 commits to this Code, the Steering Committee may approve variances of up to ten percent of any budget line, measured cumulatively over the fiscal year, so that all variances approved against a single line may not together exceed ten percent of that line as adopted. A variance beyond that limit, or

an unbudgeted expenditure, is subject to the authorization thresholds in Section 6. Every variance shall be recorded with the line affected, the amount, and the reason, and reported in the next financial report to the membership under Section 13.

d) **Continuing budget.** If no budget is adopted before the fiscal year begins, the most recently adopted budget remains in effect under Article XVI, Section 3, and this Section applies to it as the adopted budget until the membership adopts a new one.

e) **Subsidiary bodies.** No subsidiary body may commit Chapter funds beyond a budget approved by the Steering Committee or the membership, under Article VIII, Section 2. Spending from a subsidiary body's approved budget is executed through the authorized signatories and is subject to every control in this Code.

Section 9. Payment Execution and Second-Signature Control

a) **Single-signature payments.** An expenditure of $500 or less, once authorized under Section 6 or provided for under Section 8, may be executed by any one authorized signatory.

b) **Second-signature control above $500.** An expenditure greater than $500, once authorized under Section 6 or provided for under Section 8, requires second-signature approval before payment. A second authorized signatory shall approve the payment in writing or in the Chapter's financial records before the funds are moved, and that approval shall be retained with the transaction record. This figure is the dual-signature requirement that Article XVI, Section 5 commits to this Code.

c) **Internal control.** The second-signature requirement is an internal control of the Chapter binding on its officers. It does not depend on any feature of the Chapter's financial institution. Where the financial institution gives each signatory full independent authority over an account, the control is satisfied by the documented second approval required in subsection (b), not by a co-signed instrument.

d) **Verification.** The monthly reconciliation under Section 10 shall confirm that a recorded second-signature approval exists for every payment greater than $500.

Section 10. Reconciliation and Independent Review

a) **Monthly reconciliation.** The Treasurer shall reconcile every Chapter account against the financial institution's statement within thirty days of receiving each statement. This cadence is the reconciliation cadence that Article XVI, Section 5 commits to this Code.

b) **Quarterly independent review.** At least quarterly, a reviewer designated by the Steering Committee shall review the reconciliations. The reviewer must be a member of the Steering

Committee who did not perform the reconciliations under review and did not execute or give second-signature approval to the payments under review. The Secretary or the Steward, neither of whom holds signatory authority, is the preferred reviewer; a Co-Chair who meets the independence requirement may serve.

c) **Scope of review.** The review shall confirm that the reconciliations were performed, that second-signature approvals exist for payments above $500, that expenditures match their authorizations under Section 6 or Section 8, and that every direct disbursement to a natural person carries the verification record required by Section 7(b).

d) **Reporting.** The reviewer shall report the results of each quarterly review to the Steering Committee. Any discrepancy shall be reported to the Steering Committee promptly and noted in the next financial report to the membership under Section 13.

Section 11. Reimbursement of Member Expenses

a) **Submission.** A member seeking reimbursement shall submit an itemized request with receipts or other proof of payment within sixty days of incurring the expense. A request without supporting documentation shall not be reimbursed.

b) **Payment.** The Treasurer shall pay a valid reimbursement request within thirty days of receiving it.

c) **A reimbursement is an expenditure.** A reimbursement is subject to the authorization thresholds in Section 6, the natural-person floor as applied by Section 7(e), and the payment-execution controls in Section 9, by the amount of the reimbursement. A reimbursement greater than $250 requires Steering Committee authorization, and a reimbursement greater than $500 requires second-signature approval.

d) **No self-approval.** A member shall not authorize, give second-signature approval for, or execute the payment of that member's own reimbursement.

e) **Officers.** Officers serve without compensation under Article IV, Section 3, subject to reasonable reimbursement of documented Chapter-related expenses under this Code. Reimbursement under this Section is not compensation, and no reimbursement may operate to distribute the Chapter's net earnings to any officer, member, or private individual, consistent with Article IV, Section 3 and Article XVII, Section 2.

Section 12. Budget Publication and Delivery

a) **The bylaws floor.** Article XVI, Section 3 requires the Treasurer to distribute the proposed annual budget to all members with the notice of the meeting at which it will be adopted, and to

distribute the adopted budget to all members within fourteen days of adoption. Those duties are a bylaws floor. This Section supplies delivery mechanics, and nothing in this Code, and no Rule, Policy, or Artifact, may narrow, condition, or delay them.

b) **Manner of delivery.** Each distribution is made by written notice within the meaning of Article I, Section 4(f): sent to members by email or posted to a durable written channel designated for official notice. The distribution shall contain the full line-item budget text, not a summary, and the distribution of the adopted budget shall state the date of adoption and incorporate every amendment adopted with it.

c) **Mid-year changes.** A budget amendment or campaign plan adopted by the membership during the fiscal year shall be distributed to all members in the same manner within fourteen days of adoption.

d) **Continuing availability.** The Treasurer shall keep the current adopted budget, each membership-adopted campaign plan, and the record of variances under Section 8(c) available to any member in good standing on request throughout the fiscal year.

Section 13. Financial Statements and Financial Reporting

a) **Annual financial statements.** The Treasurer shall prepare annual financial statements covering each concluded fiscal year, including a balance sheet as of the end of the fiscal year and a statement of operations for that year, within ninety days of the close of the fiscal year.

b) **Member demand.** Upon the written demand of any member, the Treasurer shall furnish to that member the Chapter's latest annual financial statements in the form and within the time required by the Tennessee Nonprofit Corporation Act, and in any case within thirty days of receiving the demand, as Article XVI, Section 4 requires. Delivery by email to the member's address of record satisfies this duty unless the member requests a paper copy. These deadlines and delivery procedures are the financial-statement mechanics that Article XVI, Section 5 commits to this Code, and nothing in this Code reduces the member entitlement fixed by Article XVI, Section 4 or by statute.

c) **Regular reporting.** The Treasurer shall report on the Chapter's finances to the membership at a General Meeting at least quarterly, covering income, expenditures against the budget, variances under Section 8(c), and any discrepancy noted under Section 10(d), and shall present the financial report for the fiscal year to date at the Annual Convention under Article VII, Section 3.

Section 14. Records and Documentation

a) **Transaction records.** The Treasurer shall maintain a record of every expenditure showing the amount, the date, the payee, the purpose, the budget line or campaign-plan provision if

applicable, the authorization under Section 6 or Section 8, the second-signature approval where Section 9 requires one, and the verification record where Section 7 requires one.

b) **Retention and classification.** Financial records shall be retained as required by applicable federal and Tennessee law and by the Document Retention Code, and are classified, disclosed, and made available for member inspection as the Rule on Records Classification and Public Disclosure provides.

Section 15. Relationship to Other Governance Instruments

a) **Place in the hierarchy.** This Code is subordinate to the bylaws and to the national documents, and it is superior to every Rule and Policy, under Article XVIII, Section 2. No Rule or Policy may address a subject this Code reserves, and where this Code and another Code conflict, Article XVIII, Section 2 resolves the conflict.

b) **Single source of expenditure thresholds.** The dollar thresholds in Sections 6 and 9 are the expenditure thresholds of the Chapter's entire instrument set. Another Code, Rule, Policy, or Artifact that turns on an expenditure threshold, including the covered-transaction threshold of the Conflict of Interest Code and any figure another instrument states as aligned with the dual-signature trigger, applies the figures set in this Code by reference, and no instrument other than this Code may set a different expenditure threshold. An instrument stating a dollar figure aligned to this Code conforms to any amendment of these thresholds by its own amendment procedure.

c) **Compliance boundary.** The filing deadlines, tax and corporate obligations, and National-reporting duties are governed by the Compliance Code, not by this Code. The Compliance Calendar is maintained under the Compliance Code, and, consistent with the joint naming in Article XVI, Section 5, it records and schedules the deadlines this Code fixes, including the cash-deposit deadline in Section 3(c), the reconciliation cadence in Section 10, and the financial-statement deadlines in Section 13, together with the filing deadlines the Compliance Code fixes; this Code fixes those deadlines but does not maintain the calendar. Where a financial control in this Code touches a compliance obligation, the Compliance Code controls the compliance obligation.

d) **Membership authority.** Nothing in this Code limits the authority of the membership under the bylaws to direct any matter within the membership's authority, or reduces the standing of the General Meetings and the Annual Convention as the highest authority of the Chapter under Article VI, Section 1.

Section 16. Review and Amendment

a) **Amendment.** This Code may be amended or rescinded only through the two-meeting process of Article XVIII, Section 1(b), and, because it is a reserved Code, it may not be rescinded unless a replacement on the same subject is adopted at the same meeting, under Article XVIII, Section 7.

b) **Annual threshold review.** The Treasurer shall review the dollar thresholds in this Code at least once each fiscal year against the Chapter's actual transaction volume and receipts and shall recommend any adjustment to the membership. A change to a threshold takes effect only by amendment of this Code.